

Conveying Buyer Agreement Benefits

Buyers receive a much higher level of service if you've formalized an agency relationship with them. It's the only way you can provide client-level service. Without representation, the buyer is a customer, not a client.

Conveying This Benefit to Buyers

Tell buyers that an agency relationship is required if they want to be represented. Otherwise, both real estate professionals work for the seller in a given transaction. Also, without an agency agreement, the buyer could be working with multiple salespeople, out cruising open houses, or at risk of signing an offer with a listing agent. As such, you are constantly at risk of losing that buyer at any time. It's only logical, therefore, that you would have a significantly higher level of comfort under a signed representation agreement, and you'd be willing to spend more time and effort on your buyer's behalf.

To help you convey this to your buyer in a positive light, you might say that you provide above-and-beyond services, such as previewing properties for your clients. Due to the time and expense requirements, you're unable to offer this service to non-clients.

Clarity Regarding Compensation

Another benefit to buyers is that written buyer agreements clearly outline the services a buyer agent will provide and how they will be compensated. Buyers and real estate professionals have transparent options when negotiating the terms and expectations of their relationship. This is because written buyer agreements specify the amount or rate of any compensation the licensee will receive, the source of the compensation, and how that amount will be determined.

Avoiding open-ended stipulations regarding compensation allows buyers to understand all financial and representation expectations upfront. The buyer has a role in negotiating the level and types of service they want from their agent and the objective terms upon which those services will be compensated (e.g., flat fee, percentage, hourly rate).

Conveying This Benefit to Buyers

A buyer's agreement offers transparency and clarity in our relationship. It clearly outlines the services I'll provide, like finding properties and negotiating offers, and specifies how I'll be compensated—whether by flat fee, percentage, or hourly rate, for example. This way, you'll know exactly what to expect from the start.

The agreement also lets us tailor the terms to fit your needs, ensuring you have a say in the level of service and how it's compensated. By outlining everything upfront, we avoid surprises, giving you confidence and clarity throughout the process.

Greater Diligence in Evaluating Properties

Help buyers understand that you are only paid if they purchase a property using you as their agent. Under a buyer representative agreement, you know that you have a period of time to find the best property possible. Without such an agreement, there is always the possibility that you may lose them to another representative if they don't buy a property soon; therefore, there is pressure to identify a property right away.

Conveying This Benefit to Buyers

Say something like this: "If I know that I may not see you after today, I may feel that I need to make sure you buy the property I'm showing you today. Otherwise, I don't get paid. While I would never steer you to the wrong property, I would rather have more time to ensure that we've seen every possible property that may meet your needs rather than feel rushed into helping you make a selection today that you may regret tomorrow. Having an agreement in place gives us the time and flexibility to find not just a property that meets your needs but the very best property for you."

Buyers are entitled to receive the expertise and guidance of their own representative.

Countering Buyer Objections

Be prepared for buyer objections. Some buyers are afraid to sign any contract. They feel hemmed in and obligated, and what if they end up wanting? In this case, let buyers know that if they are ever dissatisfied with your level of service, you can both agree to terminate the agreement. And be willing to do so. Make sure, however, that the buyer understands the legal consequences of signing a representation agreement.

Conveying This Benefit to Buyers

Remind the buyer that the representation agreement fosters loyalty.

You may say, "I want to offer you my loyalty and 100% commitment. To do so, I need a signed agreement." This fosters loyalty because:

- You, as the representative, know that your buyer will not buy from anyone but you.
- You will never feel that any effort you extend on the buyer's behalf is a waste of time.
- With only so many hours in the day, you will be more inclined to spend your time working on behalf of clients with whom you have a representation agreement. It is your duty to serve them first and best.

NAR Code of Ethics Chimes In

If you are a member of the National Association of REALTORS[®], in addition to sharing its Code of Ethics, be sure to share the preamble, which emphasizes signed agreements-especially if you practice in a state where buyer's agreements are not required by law to establish exclusive buyer representation. Here is the relevant section:

"Realizing that cooperation with other real estate professionals promotes the best interests of those who utilize their services, REALTORS[®] urge exclusive representation of clients."

Conveying This Benefit to Buyers

State that as a member of the National Association of REALTORS[®], you are held to a high standard of professional conduct, including exclusive representation whenever possible. State that you pledge to provide your highest level of service to your clients, which is best accomplished through an exclusive representation agreement.

Compare the buyer representation agreement to a listing agreement. While buyers may not be familiar with buyer representation agreements, most know about listing agreements. Since listing agreements have been used for decades, sellers have benefited from exclusive representation due to the listing agreement. Tell potential buyer clients that you believe buyers deserve the same representation, which is accomplished through an exclusive representation agreement.

Before asking for the buyer's signature, restate the benefits of a buyer representation agreement. Ensure the buyer understands all of the benefits and the terms of the agreement. Ask if there are questions about anything covered so far, and endeavor to answer them to overcome any lingering objections to signing the agreement. Work to help the buyer understand that a buyer's representation agreement benefits the buyer and is, therefore, desirable.

If the buyer has lingering objections that can be dealt with on the form itself, and you find the buyer's terms agreeable, write them into the agreement. For instance, a buyer may say, "I want the option of working directly with a For Sale by Owner without having to pay you a commission." If you find this agreeable, write that into the agreement. However, ensure your buyer understands that only For Sale by Owner properties are excluded. The buyer could not, for instance, purchase through a listing agent without owing you a brokerage fee.

Finalizing the Document

Once an agreement is at hand, obtain signatures.

Having your buyers fill out the representation form rather than you is wise. This lets the buyers control their document and makes them more comfortable with what's happening. Provide copies of the agreement to the buyer immediately and retain a copy for your client file.

Next, let the buyer know how and when you will begin to provide service. It is best to ask how often the buyer wants to be in contact and note that in the client file.

Tip: When working with a couple, ensure that both partners are at the buyer presentation meeting. This will enable you to get both signatures at once and give you a good idea of what both clients want from you regarding services.